



Prepare 50% Faster

Study Notes

Indian Economic System

www.ixamBee.com

Introduction

- India has always been a focus country in world economy since ancient times
- India is a developing country having a mixed economic system where the public sector co exists with the private sector.
- Post-independence to fight against the widespread poverty and underdevelopment India adopted a Closed, Planned and Mixed Economy.
- However Post 1991 BoP crisis Indian economy went through the LPG (Liberalization ,Privatization and Globalization) reforms and slowly opened up to International trade and investment.
- Characteristics of Indian economy
 - ✓ Low per capita income
 - ✓ Inequalities in income distribution
 - ✓ Predominance of agriculture
 - ✓ Rapidly growing population
 - ✓ Chronic unemployment
 - ✓ Low rate of capital formation due to less saving rate
 - ✓ Dualistic nature of economy
 - ✓ Prevalence of labour-intensive techniques and activities
- To understand the present Indian economy, it is important to understand the economic system of India during the British rule and post-independence economic development policies

Before Independence

Before the advent of British rule

- India had an **independent economy**. It was largely **primary sector economy** and the major occupations were agriculture, handicrafts, and many other primary sector works.
- The economy was full of resources and a prosperous one. Therefore, high quality agricultural products and handicrafts made by the Indians were traded across the world.

During the British rule

- India's economy became a net raw material supplier and a net importer of finished products.
- Pre-1947 Indian economy was driven by the urge of Colonial government to develop British Empire and not India.
- State's role as stimulator in the economy was minimal. Most of the capital was provided by Private sector, earlier by British entrepreneurs and slowly by Indian

business community. But, being an underdeveloped economy this capital was highly inadequate.

- “Drain of wealth” left Indian economy with mass poverty and lack of resources.
- This period included export of primary products and import of British manufactured goods.
- Agriculture lacked required investment and mechanization which resulted in huge food import bill, wide spread hunger and poor farmers’ community.
- Industrial sector was neglected by colonial government.
- Apart from essential capital goods industries for example, Railways, telecommunication and Steel, no efforts were made to let Indian industry progress

At the time of Independence

- On the eve of independence India was facing abject poverty (Per capita income Rs.249.60 only) with huge population burden (330million) and an underdeveloped economy (GDP Rs.93.7 billion).
- There were lack of resources and development. Hence, Indian economy needed strong governmental support along with private sector.
- To overcome these challenges and hurdles Indian leadership decided to adopt a Planned and Mixed Economic system.
- With Command economies like Soviet Union and East European countries growing at fast pace with their planned economic model, India aspired to adopt the same. Hence, it adopted mixed economy with strong State compared to market

After Independence

- India after independence chose an **inward-looking development strategy** with State assuming an important role and adopted a mixed economy model with dominant public sector and limited International Trade
- However with time, this strategy seemed to be inadequate to solve the problems of extreme poverty, underdevelopment, unemployment etc
- To overcome these problems slowly India started introducing various economic reforms right from **Industrial Policy Resolution of 1948** (Mahalanobis Model of growth which suggested that there should be an emphasis on the heavy industries to lead Indian Economy to long term higher growth path).
- Till 1990 there were various steps taken by government to resolve the problems of time. However, it couldn’t breach the “Hindu Growth rate” of 3.5%, couldn’t address the extreme poverty and standard of life remained almost the same.
- **After Balance of Payment crisis in 1991** India took major changes in its economic policy and started the era of LPG reforms

Salient Features of Indian Economy

Planned Economy

- ✓ India still follows a planned economic model with slowly moving towards democratizing the whole planning system. At present multilevel planning system is being followed – Central, State, District, Block and Local level planning.

Mixed Economy

- ✓ Even after the LPG (Liberalization, Privatization and Globalization) reforms Indian Economy still has stronger State compared to market forces.

Dominant Public sector

- ✓ India started its journey of industrialization with a strong public sector.
- ✓ For various reasons such as –Infrastructure needs, regional imbalances, employment generation etc. Public sector was given the importance over private sector in early days of Indian economy.
- ✓ Still the largest employer (Railway), strategic sectors (Oil, Steel, and Banking etc.) are dominated by public sector.

Capital goods industry

- ✓ Second Five Year Plan introduced **Mahalanobis Formula** which emphasized on developing capital goods industry over consumer goods.
- ✓ This helped in making the country self-sufficient to an extent for strategic capital goods and also fueled the progress of Consumer goods sector by providing the firm base to it.

Over dependence on agriculture for employment

- ✓ Even till date around half of India's population is dependent on Agriculture sector while its share to GP has come down over a period.
- ✓ This creates the problem of disguised employment and also stressed the land resources which is limited in nature.
- ✓ This skewed distribution of labor force hinders the demographic dividend also.

Missing strong manufacturing industry

- ✓ Worldwide in the course of development economic progress from being an Agrarian economy to manufacturing based economy and finally services sector oriented one.
- ✓ However, India is a peculiar example where the economy leaped from Agrarian economy at the time of independence to services sector based one since 1990s, missing a strong manufacturing base.
- ✓ This led to skewed distribution of labor forces as services sector has limited employment elasticity as compared to manufacturing sector.
- ✓ This is especially true for country like India with a huge gap of skilled labor force which is must for Services sector.

Demographic Dividend

- ✓ It is the economic growth potential that can result from shifts in a population's age structure, mainly when the share of the working-age population (15 to 64) is larger than the non-working age share of the Population (14 and younger or 65 and older).
- ✓ Fortunately, India is currently in this stage when many developed countries are going through the stage where their population is aging

Fastest growing emerging economy

- ✓ India is currently the fastest growing major economy in the world which symbolizes its strength and also potential to progress further.

Economic Reforms since 1990

- There was fiscal and Balance of Payment crisis after the Seventh Five Year Plan (1985-90).
- Factors behind the crisis:
 - ✓ Collapse of India's major trading partner Soviet Union
 - ✓ Gulf War in January 1991 which not only led to rising oil prices but also virtually stopped remittances from Gulf nations to India.
 - ✓ International credit rating agencies lowered India's credit rating for short and long term borrowing
 - ✓ Unsustainably increased foreign indebtedness
- Economic reforms undertaken in 1991 are called "**New Economic Policy**". It included three major components.
 - 1) **Fiscal Stabilization** - It included all the steps to check the growing fiscal deficit for example rationalizing subsidies, improving revenue generation, efficient government spending etc. Later on, it evolved into **FRBM (Fiscal Responsibility and Budget Management) Act 2003**.
 - 2) **Liberalization** - To increase competitiveness in the economy, enterprises were left free to take decisions on production and investment without government interference. It essentially means reduced role of government in economic activities and decisions. It allows market forces to determine economic processes.
 - 3) **Integration with global economy** - This is essentially globalization which can be defined as "The process of integration of countries through greater foreign trade and foreign investment and free transfer of various factors of production – capital, labor, entrepreneurship."



Various Components of LPG Reforms of 1991

New Industrial Policy 1991

- It dismantled the industrial licensing system and abolished the requirement of obtaining industrial license for all but five sectors (Aerospace & defense equipments, Hazardous chemicals, Industrial explosives , Tobacco products and Distillation and brewing of alcoholic drinks).
- It opened new industries services for private sector, both domestic and foreign.
- FDI has been allowed in infrastructure sector.
- Focus on PPP Public Private Partnership.
- The list of items reserved for small scale industries were reduced and periodically reviewed (only 20).

Trade Policy reforms

- Import licensing system was dismantled.
- Non tariff barriers were phased out.
- Tariffs have been reduced substantially. It has come down from 150% in 1990 to 5.8% in 2010 for non-agricultural products.
- Quota regimes (physical limit on the quantity of a good that can be imported into a country in a given period of time) have been removed in phased manner.
- Exchange rates reforms were initiated.
- Rupee was devalued twice in July 1991.
- Partial convertibility of rupee on current account was introduced in Budget 1992-93.
- Full convertibility on current account was introduced in August 1994.

Capital Market reforms

- SEBI was established in 1988 but it was given statutory powers through The Securities and Exchange Board of India Act 1992.
- Online trading and dematerialized trading was introduced
- FII (Foreign Institutional Investors) were promoted through standard guidelines by SEBI.
- Abolition of capital issues control (Under Capital Issues (Control) Act, 1947, government used to control capital issue to ensure that investment in the private corporate sector does not violate priorities and objectives laid down in the Five Year Plans or flow into unproductive sectors).

Banking Sector Reforms

- Committee on Financial System (CFS) 1991 / Narasimham Committee
 - ✓ Set up in- August 1991
 - ✓ Chairman- M Narasimham
- Important recommendations are as below
 - ✓ Use of OMO Open Market Operations instead of CRR for monetary and credit control
 - ✓ CRR to be reduced from 15% to 3-5%
 - ✓ Interest to be paid on CRR above the basic minimum reserve
 - ✓ SLR to be reduced to 25%
 - ✓ Priority sector lending should be phased out gradually
 - ✓ Interest rate to be determined by market forces not RBI o Bank rate to be the anchor rate
 - ✓ Reduced number of PSBs o Dual control of RBI and Banking division (Ministry of Finance) to be done away with, RBI to be sole regulator
 - ✓ Autonomy in PSBs
 - ✓ Appointment of CMD on professional and merit criteria only o Asset reconstruction companies to solve NPAs
 - ✓ Apart from these recommendations there were few other reforms under taken in banking sector – introduction of prudential norms (capital adequacy, asset classification, provisioning and exposure norms etc), dilution of government holding in public sector banks, greater fund released for commercial funding etc

Fiscal Responsibility and Budget Management Act 2003

- Came into force on – July 5, 2004
- Major highlights of the act are as below
 - ✓ Reduce fiscal and revenue deficit to eliminate revenue deficit by 31st March 2008 and then build revenue surplus

- ✓ Rules to be made to specify annual targets of reduction in Revenue deficit and Fiscal deficit (RD to be cut 0.5% per annum and FD to be cut 0.3% per annum)
- ✓ Government not to borrow from RBI except through WMA Ways and Means Advance
- ✓ RBI not to subscribe to the primary issue for government securities since 2006-07
- ✓ Greater transparency in fiscal operations o Along with Budget and Demands for Grants government to present three more document to the parliament- Fiscal Policy Strategy Statement, Medium Term Fiscal Policy Statement and Macroeconomic Framework Statement
- ✓ Finance Minister to review quarterly trends in receipts and expenditure as per budget and put it before parliament

Present Scenario of Indian Economy

- Planning has gone through many changes in these years with NITI Aayog replacing Planning Commission and 73rd and 74th Constitutional Amendment Acts to introduce local level planning.
- However, given the challenges ahead India is still following a Planned Economy model with Indicative Planning style
- As per GDP at PPP for reference year 2017, India is the 3rd largest economy in the world.
- Due to covid-19 PCI may decline by 5.4 percent in FY21 to Rs. 1.43 lakh (The Economic Times)
- **Demography:** India's population has grown to 1.2 Billion but it has also reached a stage of Demographic dividend where appropriate social sector interventions can lead the country into developed country league.

Note 1

The world bank in its World Development Report (2006) classified various countries on the basis of Gross national income per capita, as :

Low income economies (< \$825)

Low middle economies (\$826- \$3255)

High Income economies (>\$10066)

Note 2

United Nations classified all countries on the basis of Human development Index

Very high (0.800-1.000)

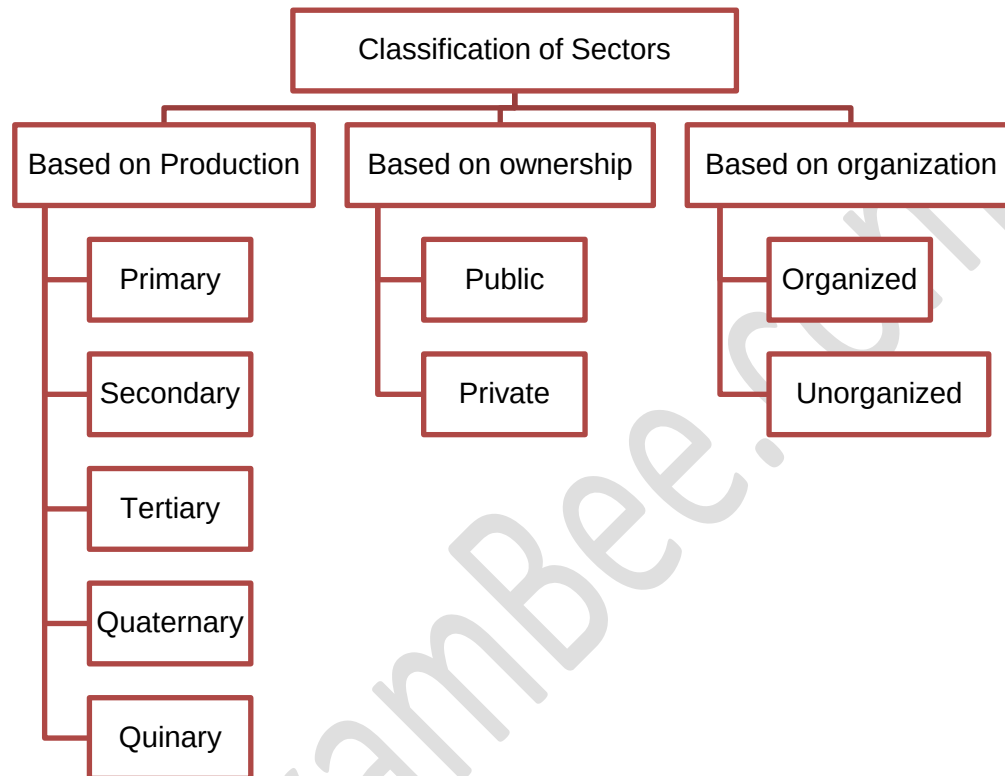
High (0.700-0.799)

Medium (0.550-0.699)

Low (< 0.549)

Sectors of Indian Economy

Based on ownership, working conditions and the nature of the activities Indian Economy is classified under various sectors



Sectors of Economy Based on Production

Primary Sector

- Economic activities which are directly dependent on natural resources such as land, vegetation, water, animals etc. are termed as primary sector.
- Example- Agriculture, Fishery, Forestry, Hunting and gathering, Mining, Quarrying, Pastoral activities etc.
- People involved in this sector are called “Red collar workers”.

Secondary Sector

- Economic activities which uses natural resources as raw material and add value to them during production process ,are termed as secondary sector. • Example- Manufacturing, Infrastructure , Construction etc.
- People employed in this sector are called “Blue collar workers”

Tertiary Sector

- This sector included production of “Services” to support primary and secondary sector activities.
- Example-Banking, Insurance, Transport, Trade, Communication etc. • People working in this sector are called “White collar workers”.

Quaternary Sector

- These are knowledge based specialized economic activities.
- Example-Software development, Consulting, Accounting, Brokerage, Fund management etc.

Quinary Sector

- These are economic activities which involve innovation, creativity, and idea based services and use latest technology.
- Example-Research scientists ,top business executives , innovators etc.
- People involved in this sector are called “Gold collar workers”.

Sectors of Economy Based on Ownership

Public Sector

- All enterprises having more than 50% stake of Central /State government or another enterprise having the majority ownership of Central/State government comes under Public Sector.
- Example-Public Sector Banks , ONGC , LIC , SAIL , IRCON etc.
- In India this is still the bigger employment provider in the economy. Railway and Defense Sector are the biggest employers in the economy which are under Public sector

Private Sector

- This includes all the companies which have majority stake (more than 50%) of private firms/ individuals, trusts etc. It is not necessary that one person or company holds the majority stake but combined stake of private company, trust or individual should be more than 50%.
- Example-Reliance Industries, TCS, Infosys etc.
- The share of private sector in employment and economic growth is rising in India in recent time

Sectors of Economy Based on Organization

Organized Sector

- It includes all the production unit which are incorporated as per government rules, registered with appropriate authority and follow all the Government rules and regulation regarding labor. For most of the government rules and legislations it includes all the firms having more than 10 employees.
- Example- Banks, Railway, Airlines etc.

Unorganized sector

- It includes production units which do not comply with government rules and regulation, not registered with any appropriate authority etc.
- Example-Ration shops, Street vendors, small restaurants etc.